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technology to developing countries. They mostly transfer second hand technology to the host country. They keep the fundamental aspects of technology with the parent company. In such case, the host country may not get the advantage of technology transfer and consequent economic development.

4. Exploiting Cheap Labour Foreign enterprises employ cheap labour force at a lower pay in developing countries. They do not employ local people for higher posts in the management. Further they do not extend the privileges they usually give to the employees in their home country to the employees of the host country. Thus they are stated to exploit the labour in developing countries.

5. Creating Monopolistic Environment Multi National Companies (MNCs) which enter the host country through FDI route create monopolistic conditions in the host countries through their market power. They may not create competitive environment in the host country. Contrarily they may affect the competition altogether and establish supremacy.

Foreign Institutional Investors (FII)

The FII can be defined as an investment made by a Non-resident in equity of domestic company without intention of acquiring management control.

FIIs are the investments made by an individual investor or an investment fund, into the financial markets of another nation. Organisations like hedge funds, insurance companies, pension funds and mutual funds can be called as institutional investors.

Foreign Institutional Investors play a very important role in Indian economy. From 1992, Foreign Institutional Investors (FIIs) have been allowed to invest in all securities traded on the primary and secondary markets, including shares, debentures and warrants issued by companies. Over 1450 foreign institutional investors have registered their names with the Securities and Exchange Board of India (SEBI), the regulator for the securities market in India.

20.03 International Capital Market

International Sources of Business Finance

There are various avenues for organisations to raise funds internationally. The establishment of Indian economy after 1990s, has facilitated many Indian companies to expand their operations beyond the frontiers of India. Many Indian companies are now able to access funds in the international financial market. The various international sources from where funds may be generated are

1. Commercial Banks

Most of the commercial banks extend foreign currency loans for promoting business opportunities. The loans and services of various types, provided by banks differ from country to country.

2. International Agencies and Development Banks

International agencies and Development banks play an important role to promote international trade and business. They provide term loans and grants to promote the development of economically backward